

GLOBAL RATES TRADER

Hiking More or Less

The Fed's inflation-focused message should reinforce a flattening environment over the near-term. The strong investment and labor market backdrop is likely to keep longer-term yields in a higher range, but it will be difficult to sustain a return to steepening until after the market gains clarity on the extent of rate hikes—which typically only occurs around the time of the last hike. Rallies are likely to be the lower vol outcome for the time being, and we tactically prefer selling vol on longer tenors over duration exposure. The hawkish ECB reaction function to energy price moves offers a degree of protection to belly forwards. We think this flattening dynamic continues in the near-term, with energy still the key uncertainty—we recommend long EUR 1y1y vs CHF. The BoE's Gilt-friendly QT plans helped bull-flatten the UK curve, but the incremental policy signals point to a November hike. This should keep flattening front-end gaps like M7M8. The message that accompanied the BoJ's 25bp rate hike fell short of the market's hawkish expectations; given front-end pricing and the relative richness of 5s on the curve, we favor paying 5y JPY on the 2s5s10s fly.

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- **A sense of stability, if not relief.** The Fed accompanied its unanimous decision to hike with a set of more hawkish signals—the number of projections indicating at least one more rate hike, the higher median dot further out the forecast horizon, and Chair Warsh's repeated indication that the starting point was not restrictive. Our economists now expect an additional rate hike in October. The clearer, inflation-focused Fed message solidifies a flattening backdrop in the near-term, but was not so hawkish as to clearly argue for starting to price growth downside into the forwards. Instead, we think that some of the risks surrounding the policy approach have diminished, but the broader backdrop of strong investment spending and a stable labor market remain in place, entrenching longer term yields in a higher range. In the near-term we think rallies are likely to be associated with lower volatility. Lower yields are likely to come more from the belly of the curve as the asymmetry to additional hikes is a limit on very front-end rallies and a headwind to generalized steepening absent a shift in the growth picture, which leaves risks around our UST yield forecasts tilted higher and flatter. With oil likely to maintain its influence over day-to-day moves (Exhibit 1), we think short vol expressions further out the curve (below) are preferable to outright duration exposure for the time being.

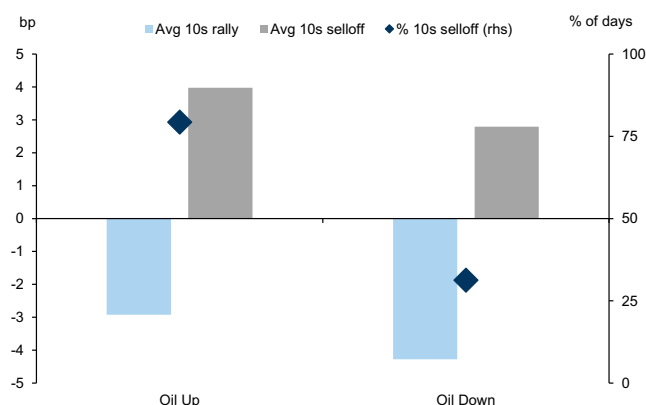
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- **The high-water mark around hikes.** Fed pricing over the next year implies a path that sits not only above our economists' baseline, but above the hawkish side of the range of survey estimates and the Fed dots, implying roughly three more hikes by the middle of 2027. While we think market pricing is towards the hawkish end of the likely distribution of outcomes, history shows it is unusual for front-end forwards to peak meaningfully ahead of the end of rate hikes, with the 2015 cycle the notable exception for forwards more broadly and the 2022 cycle the exception for the very front-end (due to the regional banking shock). In 1997 and 1999—hiking cycles that also began from higher starting points—the peak in rates during the window between the first hike and three months after the last move came about a month after the lone hike in 1997, and was more or less coincident with the last hike of the series that began in 1999. Also notable is that in the three months following the peak in front-end forwards, rallies tend to be relatively parallel in nature, with the belly modestly outperforming on average ([Exhibit 2](#)). While we think that the longer-term case for lower yields depends on a shift in the policy path and leans towards a steeper curve, history suggests the case for steepening is weak while markets grapple with the eventual endpoint of hikes, and positioning for dovish relief is ultimately best done on an outright basis.

Exhibit 1: Energy prices continue to dictate the skew of risks around yield moves

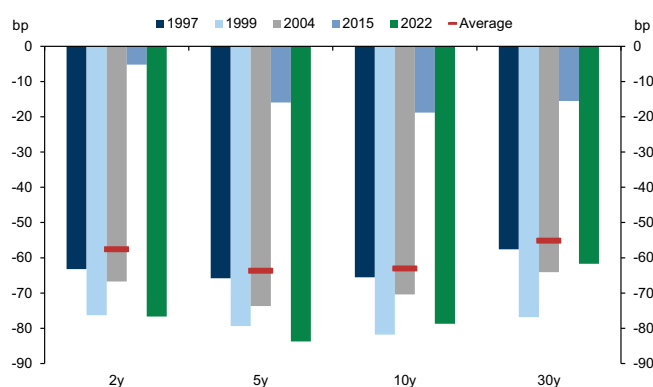
Average change in 10y yields on oil up/down days, last two months



Source: Goldman Sachs Global Investment Research, Goldman Sachs FICC and Equities

Exhibit 2: Rallies tend to be in relative parallel after the cycle peak in forward yields

Change in US swap yields vs forwards over three months following earliest peak in 1y1y to 4y1y forwards by hike cycle*



Hike cycle measured from first hike to three months following final hike

Source: Goldman Sachs FICC and Equities, Goldman Sachs Global Investment Research

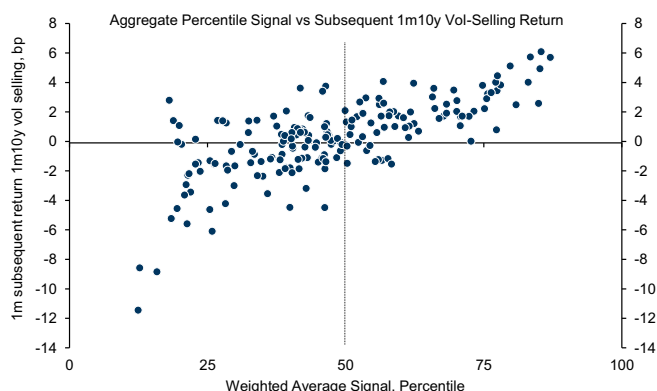
- **A mixed picture for vol selling.** Rates volatility has been largely stable despite the magnitude of the move higher in yields, a pattern we had highlighted as leaving vulnerability to an outcome that widens the distribution meaningfully further. While more hawkish than expected, this week's Fed decision gave the market some guardrails around the path for future policy and avoided the extremes of either reintroducing dovish concerns or following in the ECB's footsteps with distribution-expanding message. We think that can reinforce the somewhat benign vol backdrop for the time being and allow vol to settle at the lower end of our fair value range. In general, we find that the aggregate signal from the level of implied vol versus macro fundamentals, changes in growth and policy pricing, and implied vol

versus statistical predictions offer useful signals for gauging how favorable conditions are for vol selling (Exhibit 3). Our aggregate measure suggests that the current backdrop is consistent with below average but still positive returns on selling belly vol, while valuations on 30y tails suggest a more supportive short vol backdrop. Amid ongoing uncertainty about the near-term direction of travel, we favor selling 3m30y straddles on a delta-hedged basis (entry: 0bp; target: 6bp; stop: -4bp).

- **Fed signal a more durable headwind for back-end than front-end inflation.** The rise in yields since the start of the conflict has come alongside shifts higher in both real yields and inflation pricing (Exhibit 4). However, the clearer hawkish signal from the Fed—first at Jackson Hole and then with this week’s hike—has led to a clear shift, with building rate hike expectations supported by higher real yields alongside stickier inflation forwards (which have more clearly decoupled from oil prices). While the recent moderation in energy prices has contributed to this week’s front-end inflation underperformance, longer-dated forwards have also participated in the inflation sell-off. We think the policy headwinds will prove more durable for longer-term forwards regardless of the path for energy prices—the emphasis on removing “a dose of accommodation” suggests an appetite for tighter policy that ought to contain inflation risk premia. While further energy downside would weigh more strongly on front-end forwards, there is not a particularly compelling case for near-term asymmetry around the very front-end, with fixings relatively aligned with our economists’ inflation path over the coming months.

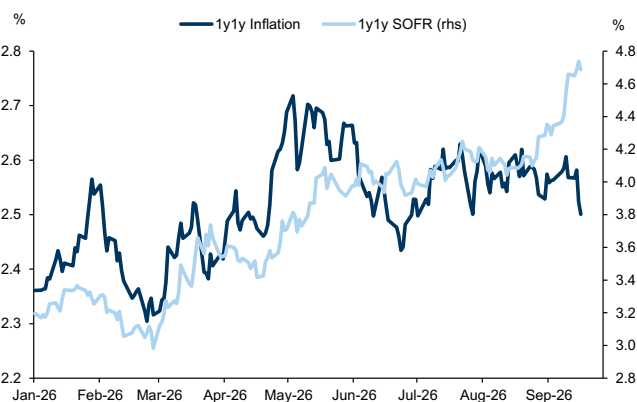
Exhibit 3: Aggregate signal helpful forward-looking signal on returns to vol selling

Aggregate 1m10y USD Vol Selling Signal, in Percentile, vs Subsequent 1m Return



Source: Goldman Sachs Global Investment Research, Goldman Sachs FICC and Equities

Exhibit 4: Inflation forwards and yields decoupled after the Fed’s hawkish pivot



Source: Goldman Sachs Global Investment Research, Goldman Sachs FICC and Equities

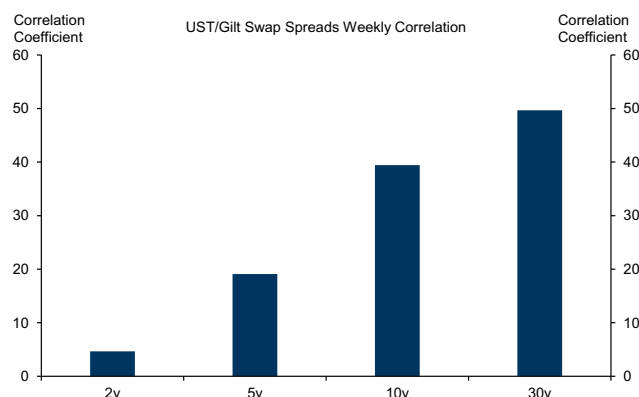
- **A global support for spreads.** Despite the modest disappointment apparent in long-end spreads following Treasury’s first buyback operation, we think the revealed willingness to actively manage long-end supply should support swap spread stability. Spreads are on the wide side of our framework’s fair value, but levels do not look stretched given the benign funding picture (see below) and contained vol environment. This week’s adjustment to BoE QT (see below) similarly suggested an aversion to supply-driven long-end volatility that, while primarily relevant to Gilt spreads, skews favorably for US long-end spreads as well, with greater co-movement

between UST and Gilt swap spreads further out the curve ([Exhibit 5](#)). Looking ahead, we think that the recent rally in long end yields likely has reduced the urgency, but think that renewed bearish pressure could raise expectations for further supply adjustments, supporting spreads into selloffs. The risk is that supply measures underwhelm at some point, and the non-exhaustion of the envelope at the first upsized operation served as a reminder that Treasury remains a price sensitive buyer, but for now our expectation is that long-end buyback sizes are likely to remain steady (i.e. \$6bn maximum per operation).

- **Mixed dynamics behind an easier funding backdrop.** Funding conditions have remained benign through the September seasonal TGA increase, supported by negative bill supply locally and subdued demand for funding from levered funds, with an ongoing reduction in levered investor short futures positions. Against that, money fund AUM growth has been sluggish, while WAM has been stable after declining through the summer, the mix of which has seen the 1m/3m bills-OIS curve move towards the steeper end of its range (i.e. 3m bills trading relatively cheaper). Shorter money fund WAM likely reflects hike pricing and near-term policy uncertainty, consistent with the typical pattern where more slope (either positive or negative) at the front-end of the curve tends to bias WAM lower ([Exhibit 6](#)). That said, currently WAM remains well above the lows of the previous hiking cycle, when a much steeper curve corresponded to more defensive money fund positioning. If markets refrain from adding additional near-term hikes—or even take out some hike pricing beyond October—a flatter bills curve should see modest WAM lengthening. AUM growth, in contrast, could remain subdued if risk asset returns remain firm, though a flatter overall yield curve bodes more favorably. Overall, we expect benign funding conditions to persist against this backdrop, even after accounting for the marginal impact to bill supply from expanded buybacks and current absence of Fed reserve management purchases.

Exhibit 5: The long-end of the Gilt and UST spread curves exhibit greater co-movement

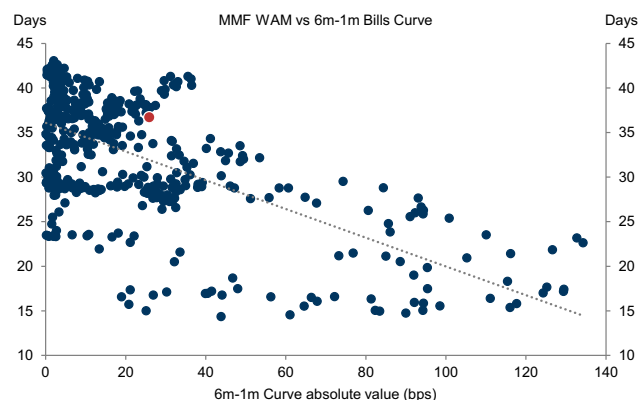
1y Correlation of weekly changes, UST/Gilt swap spreads



Source: Goldman Sachs Global Investment Research, Goldman Sachs FICC and Equities

Exhibit 6: More absolute front-end slope tends to correspond to a lower money fund WAM

Average money fund WAM vs absolute 1m/6m curve slope



Source: Goldman Sachs Global Investment Research, Goldman Sachs FICC and Equities

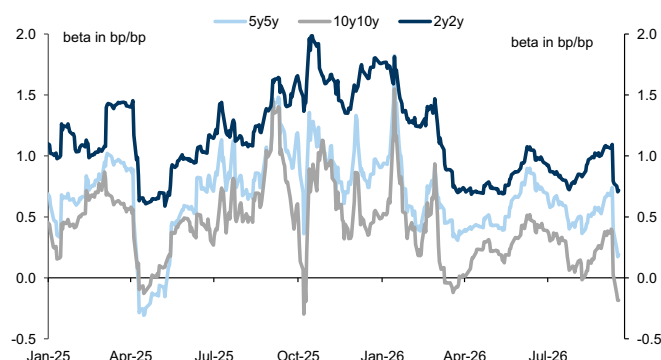
Europe

- **Hawkish ECB protecting belly forwards.** A tentative stabilisation of energy prices

helped to anchor European rates this week. Front-end rates and curves trod water, with post-ECB front-end flattening holding firm. The beta of longer-dated forwards to moves in front-end rates has reached new lows after last Thursday's ECB meeting (10 September) ([Exhibit 7](#)). We think this dynamic persists, and we expect intermediate and longer-dated forwards to be increasingly insulated by the ECB's hawkish reaction function to energy price developments. This starts to build positive risk-reward for belly longs, and is consistent with our view that 1y1y EUR rates should compress vs CHF.

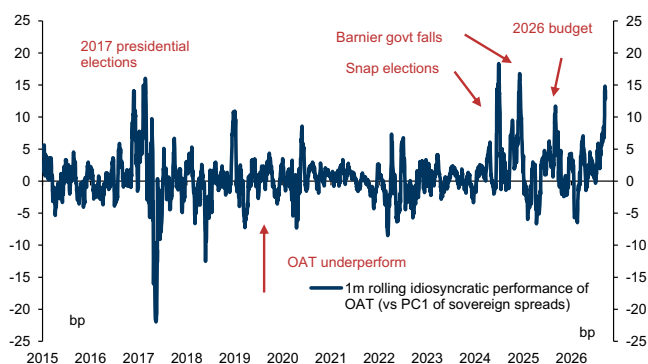
Exhibit 7: The beta of longer-dated forwards to moves in front-end rates has reached new lows

Beta of 2y EUR OIS to forwards



Source: Goldman Sachs Global Investment Research, Goldman Sachs FICC and Equities

Exhibit 8: OATs idiosyncratic widening has reached significant levels



Source: Goldman Sachs Global Investment Research, Goldman Sachs FICC and Equities

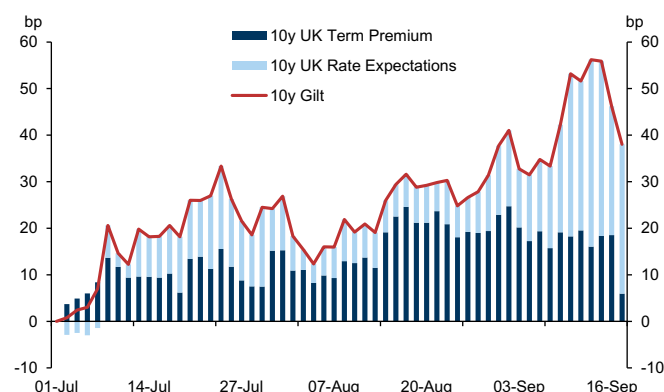
- **OATs hanging in at the wide spread range.** The widening in sovereign credit has been stalled by the stabilisation in ECB front-end rates and duration globally. France remains the key focus, with markets closely watching budget developments and on the lookout for clues about the economic platform of key contenders in the presidential race, starting with *Rassemblement National* (RN). On the former, incremental budget news has been slightly on the negative side, with government guidance for a 5.4% deficit in 2026 (against our economists' expectation of 5.3%). On the latter, ongoing market pressures are highlighting the need for fiscal consolidation among contenders (and polls suggest it is a concern for the population too), which can be a positive for OATs. But we note that this is not matched by concrete and commensurate commitments by candidates to improve public finances at this stage. When benchmarked against peers on spot debt levels, OATs look increasingly cheap. We do not view this as a compelling buy signal as it is consistent with markets pricing a protracted increase in debt ratios, which is also our economists' expectation too. More encouragingly, we note that the idiosyncratic widening in OATs over the last months has reached significant levels ([Exhibit 8](#)), comparable to the 2017 elections or recent changes in government. This suggests to us another leg of idiosyncratic widening is unlikely in the near term, and points to increasing risk-reward in OATs into Q4.

- **BoE compresses term premium, but not rate expectations:** This week's BoE meeting announced a more Gilt-friendly QT plan (more below), which drove long-end Gilt yields lower, somewhat overshadowing the near-term policy message

that moved incrementally closer to hikes. This flattening shows up as one of the biggest single day term premia compressions in recent years ([Exhibit 9](#)). Governor Bailey noted that persistently higher energy prices may warrant tighter policy. However, the MPC reiterated that passthrough from energy price rises has so far been muted, and continued to judge that policy rates remain restrictive – a judgment that has shifted more hawkishly at the ECB and the Fed – all suggesting limited urgency to act. Our economists [continue to forecast a November hike](#), which we think will continue to flatten the front end, such as M7M8. The main risk to this view is a sharp decline in energy prices, which would reduce front-end risk premium.

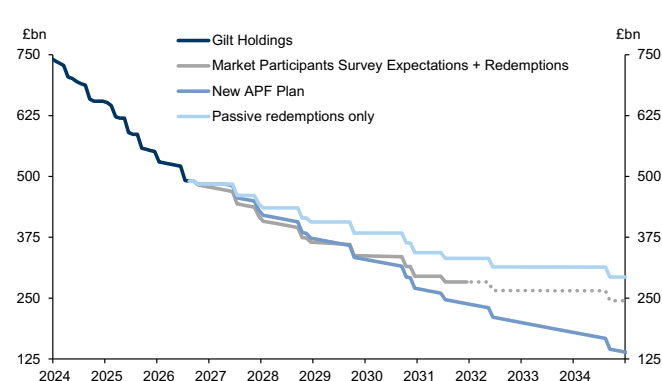
Exhibit 9: Post BoE rally driven by compression in term premium

GS yield curve only term premium model



Source: Goldman Sachs Global Investment Research, Goldman Sachs FICC and Equities

Exhibit 10: Faster QT, but less duration supply to the market



Source: Goldman Sachs Global Investment Research, Goldman Sachs FICC and Equities

- **BoE announces Gilt-Friendly QT Plan.** Yesterday, the BoE proposed continuing to [reduce its APF Gilt holdings](#), while ending active sales to the private sector, subject to a final decision [by April 2027](#). APF holdings would fall from £488bn to £120bn by 2034, with £222bn of shorter bonds running off passively, £146bn of 8-22y Gilts sold to the government at £20bn per year, and the longest-dated £120bn retained to back banknote issuance. Although the £46bn annual reduction is faster than surveyed expectations ([Exhibit 10](#)), we think this will be outweighed by the removal of private-sector duration supply, particularly at the long end. The QT process will continue to supply bonds to the market, but now via the DMO's regular issuance plan rather than APF auctions. The initial rally and swap-spread widening appear justified: we estimate that pausing private-sector sales and the potential maturity transformation through DMO issuance are together worth around 4bp of Gilt richening on swap, with the cessation of long-end sales potentially offering further upside, although balanced by the faster-than-expected QT pace and longer QT horizon. The plan should compress Gilt-specific risk premium and reinforce our bias for a flatter curve and lower long-end yields.
- **A hike in Norway, patience in Sweden, Switzerland.** The renewed pressure across global rates from elevated energy prices has also spilled into SEK, CHF and NOK markets, but the domestic policy outlook remains differentiated. Our economists expect the Riksbank and SNB to remain on hold while they await broader evidence of inflationary pressure but continue to look for Norges Bank to deliver one final hike

to 4.5%. In Sweden, we expect the Riksbank to wait until December before raising rates to 2%, followed by one further hike to a 2.25% terminal rate in 2027. Recent inflation prints have remained weak and the labour-market recovery sluggish, giving the Riksbank room to await clearer evidence that higher energy prices are generating broader inflation pressures. The centre-left's narrower-than-expected election victory does not materially alter Sweden's macro outlook, although the slim parliamentary margin and potentially difficult budget negotiations leave some risk of a more expansionary fiscal package and modest underperformance in SEK rates. In Switzerland, the recent pickup in inflation remains narrow, leaving the SNB under little pressure to hike in the near term. However, we continue to recommend paying 1y1y CHF vs EUR, which should perform if SNB hikes come into play, the Swiss Franc weakens further or the ECB tightens again. Finally, Norges Bank remains the hawkish outlier. Our economists continue to expect a 25bp hike to 4.5% at next week's meeting, somewhat earlier than market pricing. This should support further curve flattening, although we will be watching for any signal that Norges Bank considers the hiking cycle over.

Japan

- **Falling short of the mark.** The BoJ meeting fell short of the high bar markets had priced for the policy path. Though the statement leaned hawkish, market attention centered on the two dissents favoring a hold. While the BoJ clearly intends to raise rates further and signaled a shift in the case for hikes towards controlling price pressures rather than normalization, the absence of a clear signal toward faster hikes disappointed expectations. Markets also appeared to interpret the dissents as a challenge to further tightening given the two dissents came PM Takaichi appointees, drawing attention to the two board seats whose terms expire in July 2027 (one of which is Board Member Takata, who had recently suggested larger or sequential moves could be necessary). Even so, markets continue to price a hawkish BoJ trajectory, and JGB curves have generally maintained the shift flatter as cheapening has continued its migration into the belly. With front-end policy pricing still on the hawkish side of what we think is a likely near-term path, we recommend paying 5s on the 2s5s10s fly (entry = -8.6bps, target = +2bps, stop = -13bps) to position for behavior more typical of global curves where 5s bear the brunt of underperformance.

Latest Thematic Research:

Global Rates Notes: BoE Announce Gilt-Friendly QT Plan — 17 September 2026

Rates Vol Monitor: Dispersion of Risks — 15 September 2026

Global Rates Notes: Revising Gilt Yield Forecasts Higher — 14 September 2026

Euro Area Sovereign Credit Monitor: In Choppy Waters — 11 September 2026

Global Rates Notes: Q&A on Treasury's Long-End Buybacks — 25 August 2026

Latest Global Markets Dailies:

Timing It Right — When to Sell Interest Rates Vol — 18 September 2026

US Debt Issuance—Limited Evidence of a Duration Supply Imbalance — 11 September 2026

An Inconvenient Time for EGBs? — 2 September 2026

G10 Rates Views—Shallow Relief For Long-End Woes — 27 August 2026

Fed Communication And Term Premium — 20 August 2026

The authors would like to thank Dario Scordamaglia for his contribution to this report. Dario is an intern on the Markets team.

Forecasts

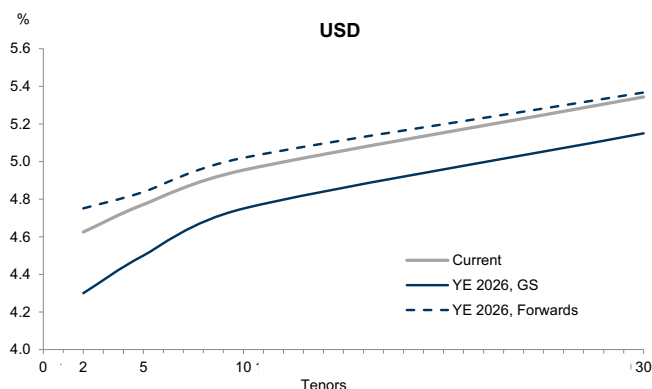
G10 10y yield forecast

G10 10-Year Yield Forecasts													
	USD	DEM	FRA	ITA	ESP	GBP	JPY	CAD	CHF	SEK	NOK	AUD	NZD
Spot	4.95	3.50	4.48	4.38	3.96	5.27	2.99	3.82	0.56	3.21	4.49	5.27	4.94
3Q26	4.90	3.40	4.25	4.25	3.90	5.20	3.00	3.50	0.40	3.20	4.00	4.75	4.50
4Q26	4.75	3.25	4.10	4.10	3.75	5.00	3.00	3.50	0.50	3.25	4.00	4.70	4.50
1Q27	4.65	3.25	4.15	4.10	3.80	5.00	2.95	3.50	0.50	3.25	4.00	4.60	4.50
2Q27	4.55	3.25	4.20	4.15	3.80	4.90	2.90	3.50	0.50	3.25	4.00	4.50	4.50
3Q27	4.45	3.25	4.10	4.15	3.75	4.90	2.85	3.50	0.50	3.25	4.00	4.50	4.50
4Q27	4.40	3.25	4.05	4.10	3.70	4.85	2.75	3.50	0.50	3.25	4.00	4.50	4.50
1Q28	4.40	3.25	4.05	4.10	3.70	4.80	2.65	3.50	0.50	3.25	4.00	4.50	4.50

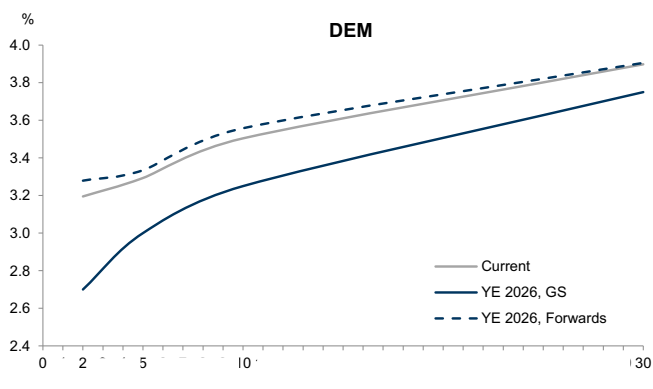
Deviation from Forwards													
	USD	DEM	FRA	ITA	ESP	GBP	JPY	CAD	CHF	SEK	NOK	AUD	NZD
3Q26	-0.06	-0.11	-0.24	-0.14	-0.07	-0.07	0.00	-0.33	-0.14	0.00	-0.49	-0.52	-0.45
4Q26	-0.26	-0.30	-0.43	-0.37	-0.26	-0.34	-0.06	-0.39	-0.08	0.02	-0.48	-0.59	-0.54
1Q27	-0.40	-0.34	-0.45	-0.43	-0.26	-0.38	-0.18	-0.43	-0.10	0.00	-0.47	-0.71	-0.61
2Q27	-0.53	-0.36	-0.45	-0.43	-0.30	-0.51	-0.30	-0.46	-0.11	-0.03	-0.46	-0.83	-0.67

Source: Goldman Sachs Global Investment Research

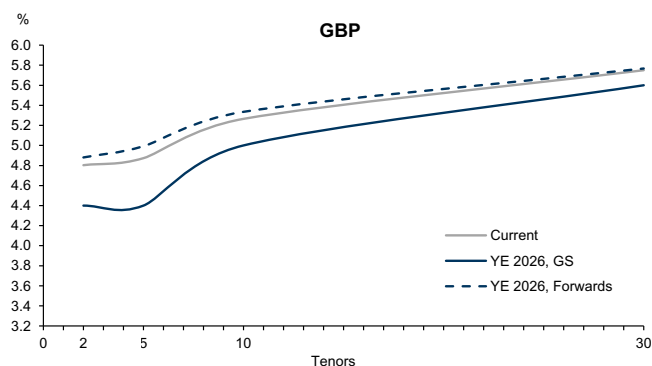
USD Curve Forecast



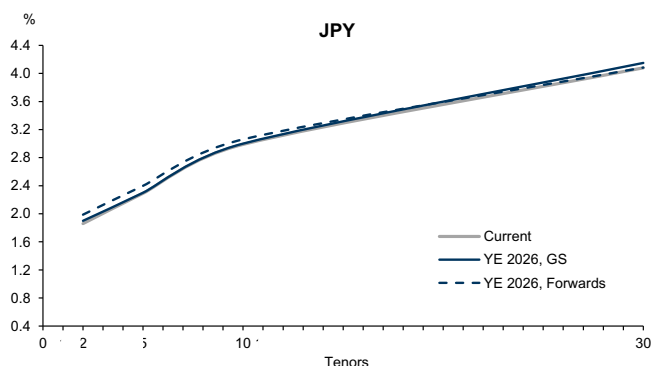
DEM Curve Forecast



GBP Curve Forecast



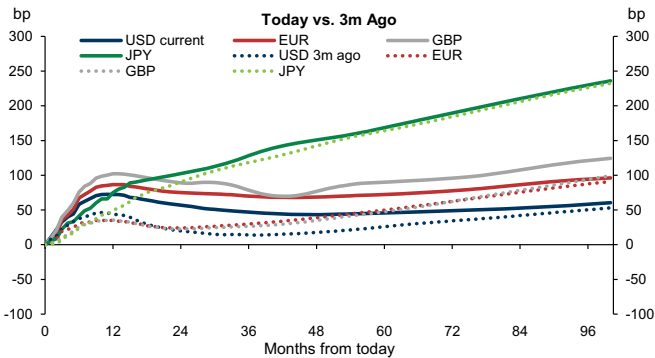
JPY Curve Forecast



Source: Goldman Sachs Global Investment Research

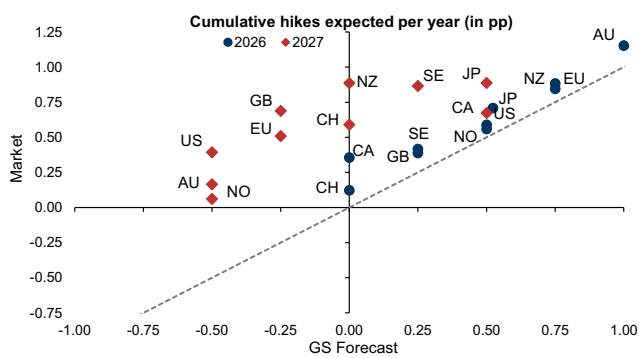
Central Bank Dashboard

Cumulative amount of hikes/cuts priced from today



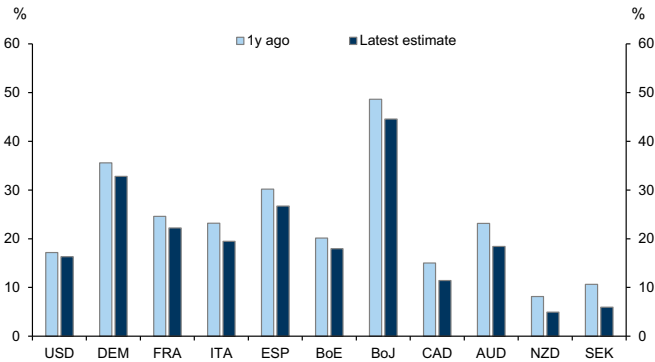
Source: Goldman Sachs Global Investment Research

Expected hikes by year, GS vs. Market



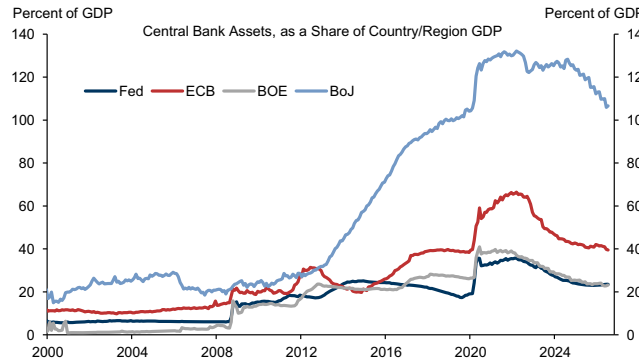
Source: Goldman Sachs Global Investment Research

Central bank ownership of sovereign bonds, current vs. 1y ago



Source: Haver Analytics

Central bank assets as a share of GDP

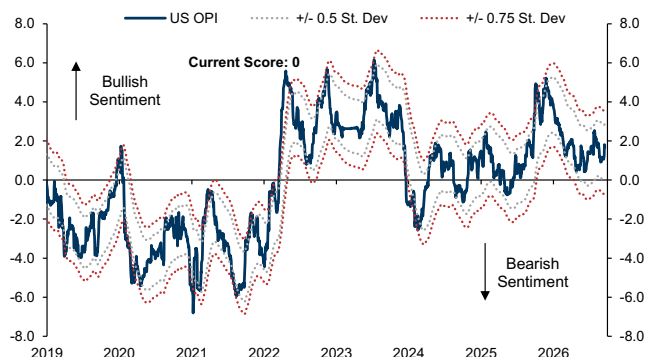


Source: Haver Analytics

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Positioning and Flows Monitor

Option implied position indicator



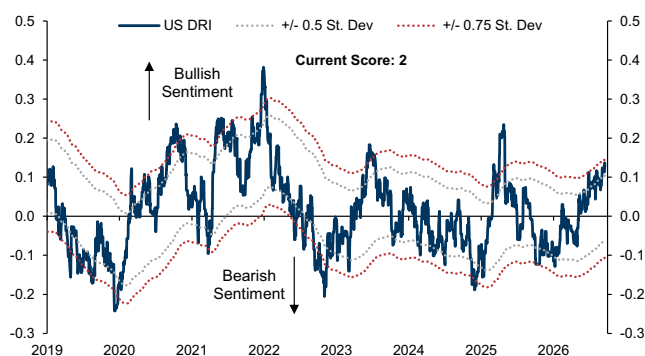
Source: Goldman Sachs Global Investment Research

GS Fund Positioning Indicator



Source: Goldman Sachs Global Investment Research

US Data Response Indicator (DRI)



Source: Goldman Sachs Global Investment Research

CFTC Commitment of Traders and Traders in Financial Futures

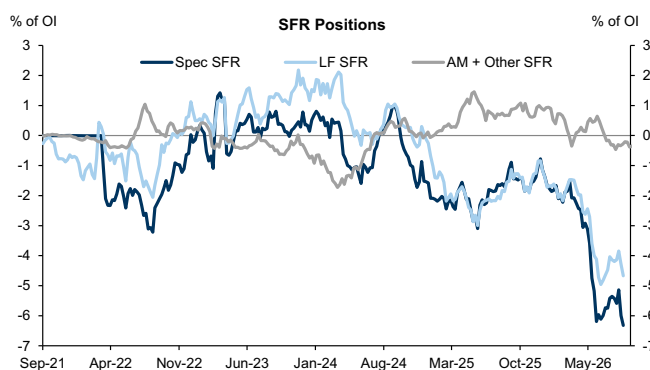
Duration-weighted net position by investor type

Duration-Weighted Positioning, by Contract

\$mm/bp	SFR	TU	FV	TY	TN	US	WN
Spec Current	-86.0	-32.2	-51.8	-51.0	-15.7	-26.9	-56.7
Spec 1w Change	-3.6	-1.8	4.3	4.3	0.5	0.1	3.9
LF Current	-70.2	-44.4	-84.3	-119.7	-35.4	-36.7	-142.1
LF 1w Change	-5.0	-1.1	4.8	7.3	-0.3	2.7	2.0
AM + Other Current	-19.0	57.7	116.7	160.8	64.5	60.1	174.9
AM + Other 1w Change	-3.7	1.1	-2.7	-2.5	1.4	-0.5	0.3
Dealer Current	89.0	-14.9	-34.7	-41.0	-21.5	-31.9	-34.7
Dealer 1w Change	8.4	0.0	-1.5	-3.3	-1.3	1.6	4.2

Source: CFTC, Goldman Sachs Global Investment Research

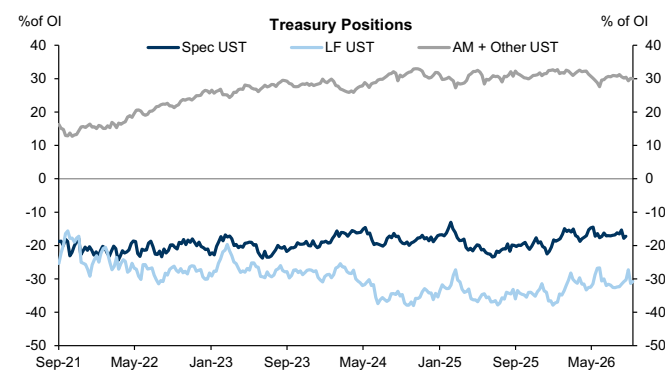
Net positions in Eurodollars



Note: Duration-weighted net position (long - short) as a % of duration-weighted gross exposure (long + short + spreading)

Source: CFTC, Goldman Sachs Global Investment Research

Net positions in UST futures

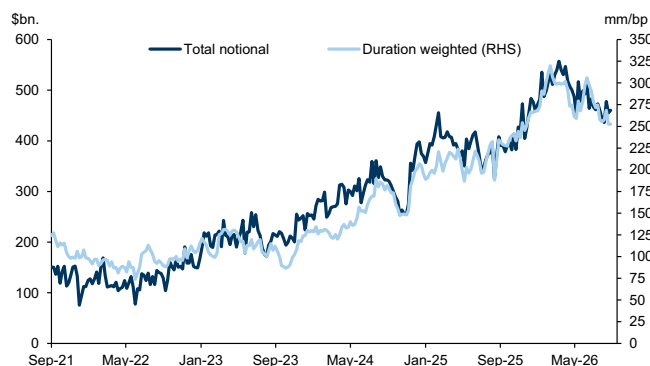


Note: Duration-weighted net position (long - short) as a % of duration-weighted gross exposure (long + short + spreading)

Source: CFTC, Goldman Sachs Global Investment Research

Primary dealer transactions

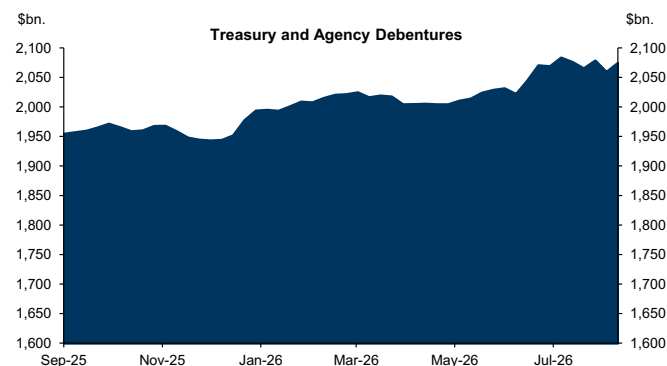
Net dealer position in US Treasuries



Source: Federal Reserve Bank of New York, Goldman Sachs Global Investment Research

US Commercial Banks' Holdings of Treasury and Agency Securities

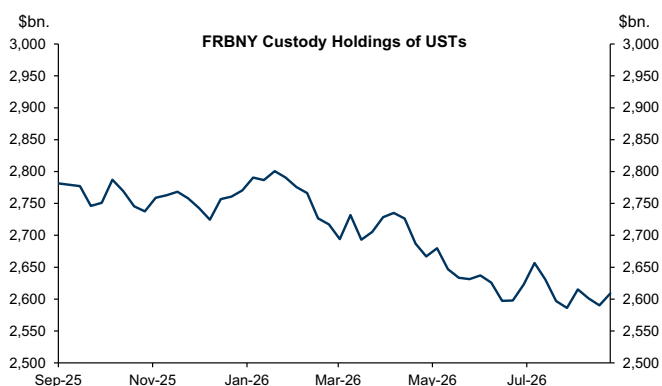
Total domestic and foreign holdings, all commercial banks



Source: Federal Reserve Board

NY Fed Custody Holdings

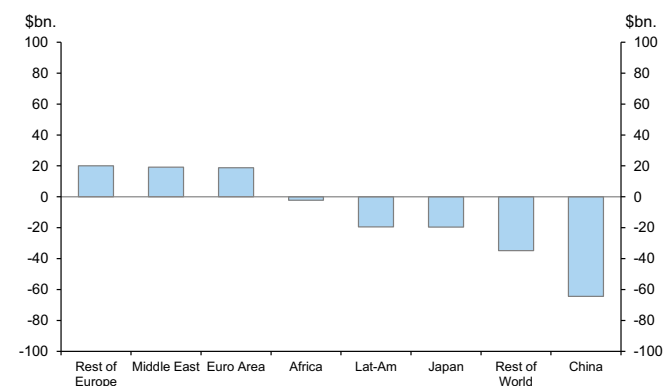
Marketable US Treasuries



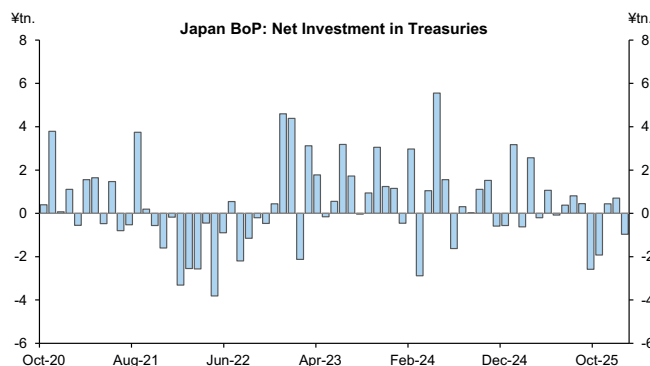
Source: Federal Reserve Bank of New York

US TIC Treasury Flows

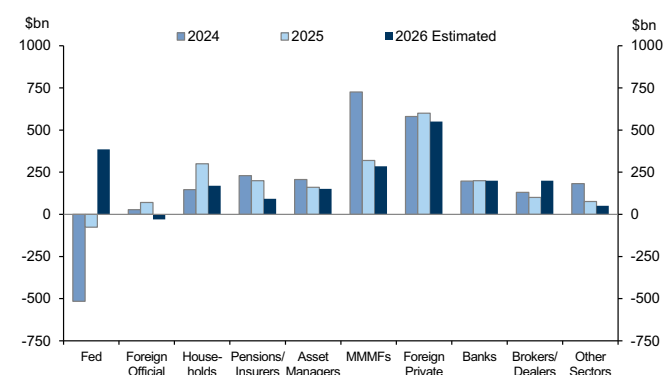
12m change in valuation-adjusted holdings of USTs, by holder of debt



Source: US Treasury, Goldman Sachs Global Investment Research

Net monthly purchases of short- and long-term US Treasuries by Japanese investors

Source: Bank of Japan, Haver Analytics

Flow of Funds annual net purchases of US Treasuries, by sector

Source: Federal Reserve Board, Goldman Sachs Global Investment Research

Carry/Rolldown Monitor

Exhibit 11: Outright Carry

Top two carry points by currency, solid reflects carry to a long position and striped carry to a short position.

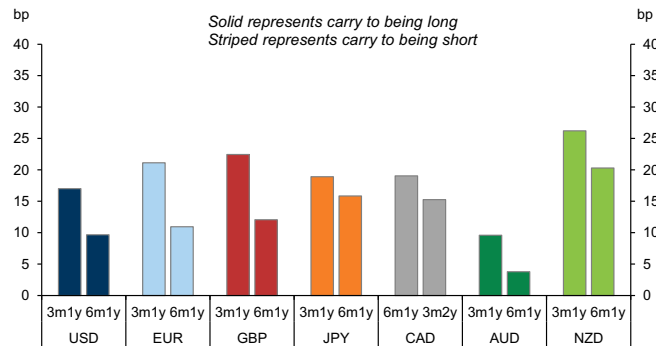


Exhibit 12: Outright Carry

Top 25 carry/vol points by currency. Top point by currency noted

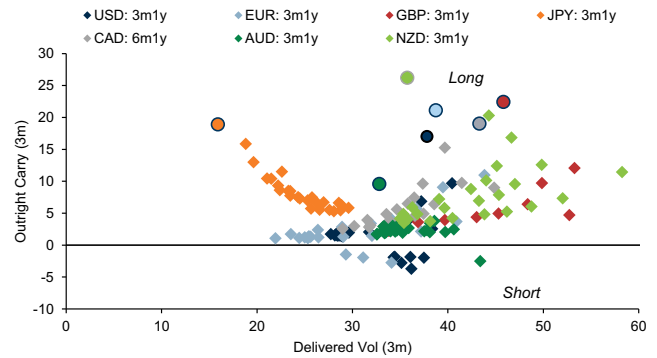


Exhibit 13: Curve Carry

Top two carry curves by currency, with solid reflecting carry to a steepening position and striped carry to a flattening position

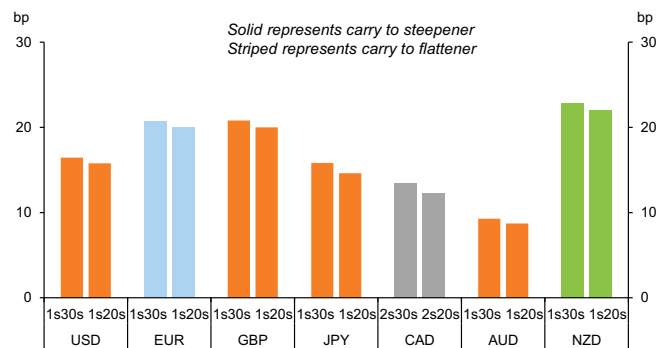


Exhibit 14: Curve Carry

Top 5 carry/vol curves by currency, with top curve by currency noted

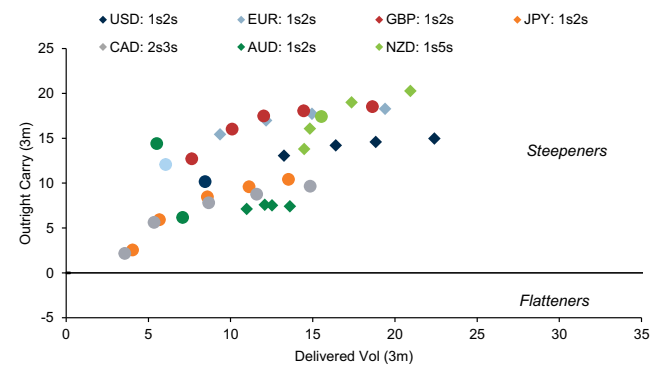


Exhibit 15: Fly Carry

Top two carry flies by currency, with solid reflecting carry to a belly-richening fly and striped carry to a belly-cheapening fly.

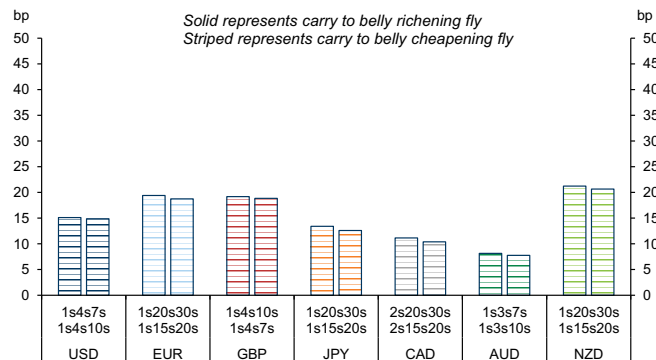
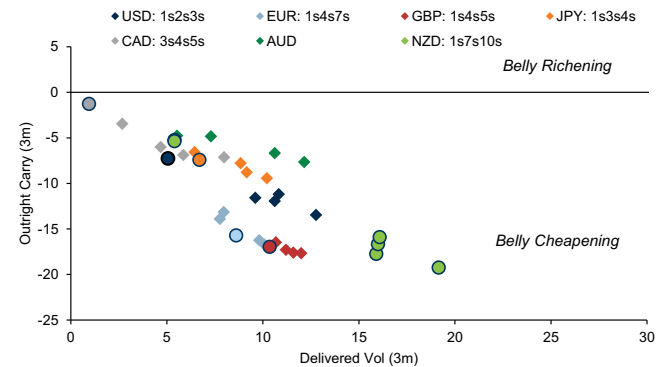


Exhibit 16: Fly Carry

Illustrates top 5 carry/vol flies by currency, with top fly by currency noted.



Treasury Supply Monitor

Gross Treasury auction size estimates by year end, with GS projections

Monthly Auction Amounts at End of Calendar Year (\$ billions)											
	2y FRNs	2y	3y	5y	7y	10y	20y	30y	5y TIPS	10y TIPS	30y TIPS
YE-25 (CY)	30 / 28 (r)	69	58	70	44	42 / 39 (r)	16 / 13 (r)	25 / 22 (r)	26 / 24 (r)	21 / 19 (r)	9 / 8 (r)
YE-26 (CY, GS)	30 / 28 (r)	69	58	70	44	42 / 39 (r)	16 / 13 (r)	25 / 22 (r)	26 / 24 (r)	21 / 19 (r)	9 / 8 (r)
YE-27 (CY, GS)	33 / 30 (r)	83	72	84	54	42 / 39 (r)	16 / 13 (r)	25 / 22 (r)	28 / 26 (r)	21 / 19 (r)	9 / 8 (r)

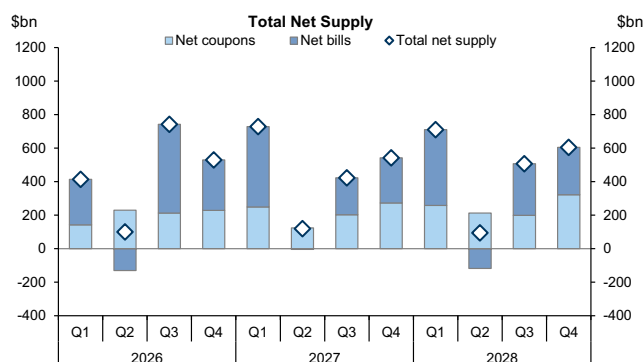
* Original Issue / Reopening listed for FRNs, 10s, 20s, 30s, and TIPS.

US Treasury Net Issuance by Calendar Year (\$ billions)						
	Net Coupons	Fed	Net of Fed	Net Bills	Fed	Net of Fed
CY 2024	1346	-475	1821	511	-23	534
CY 2025	1566	-115	1681	360	38	322
CY 2026, GS	1202	-8	1210	977	397	580
CY 2027, GS	1302	0	1302	968	453	514

Duration supply (\$bn 10y equiv)		
Gross supply	Fed	Net of Fed
2765	0	40
2797	0	98
2795	0	163
2929	0	240

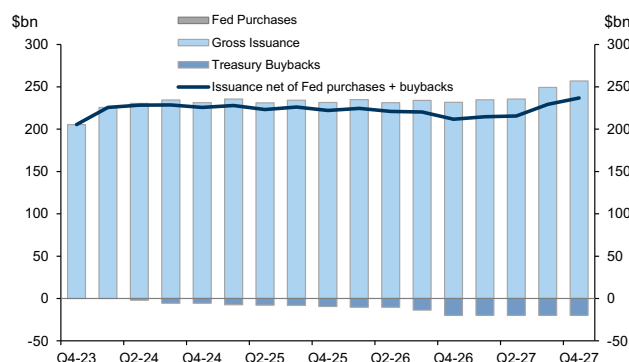
Source: Goldman Sachs Global Investment Research, US Department of the Treasury

Net issuance per quarter



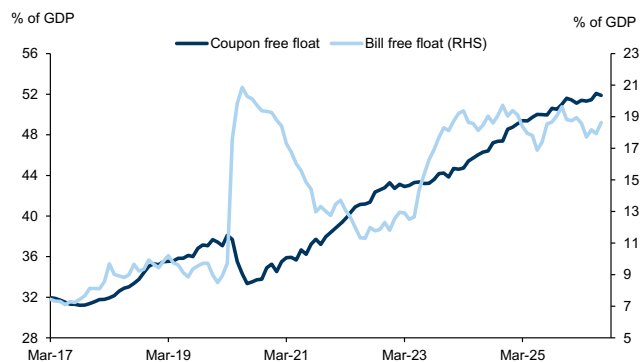
Source: Goldman Sachs Global Investment Research, US Department of the Treasury

Average monthly UST issuance, gross and net of Fed purchases; \$bn 10y equivalents



Source: Goldman Sachs Global Investment Research, US Department of the Treasury

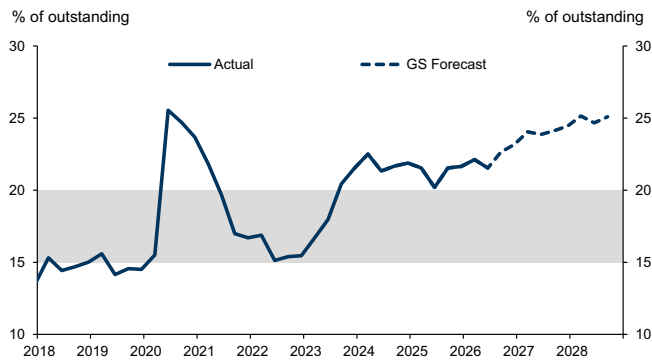
Free float (Treasury's outstanding less Fed and foreign official holdings) as % of GDP



Source: Haver Analytics, US Treasury, Goldman Sachs Global Investment Research

Bills as a share of Treasuries outstanding and GS forecast

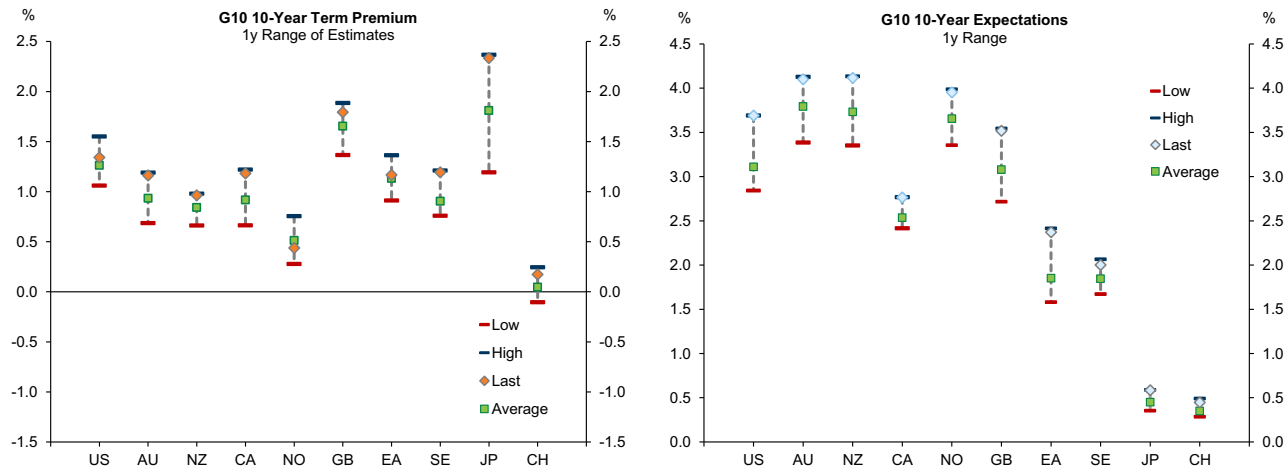
Gray shading denotes TBAC recommended 15-20% range



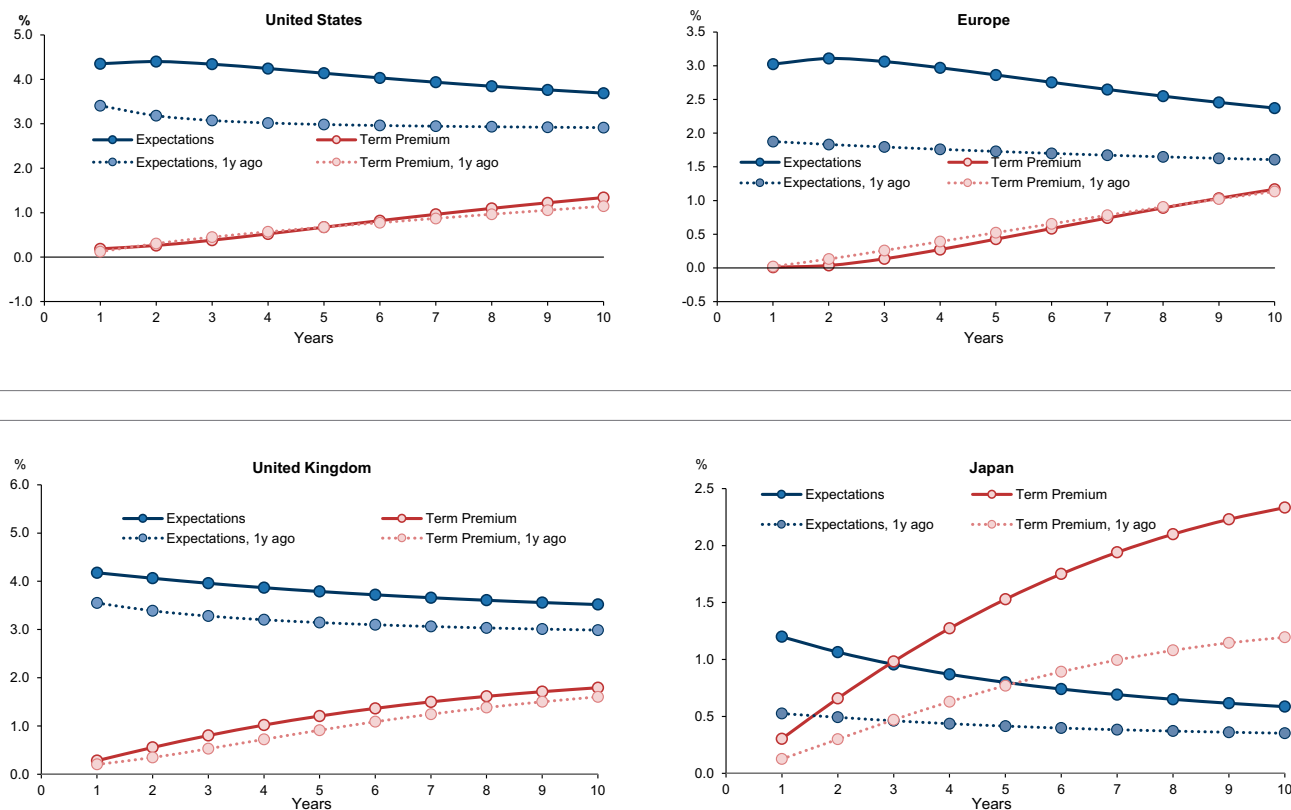
Source: US Treasury, Goldman Sachs Global Investment Research

GS Term Premium Decomposition

1y Range of G10 10y Yields, by Term Premium and Expectations Components



Term Structure of Fitted Yields, by Component



Source: Goldman Sachs Global Investment Research

2026 Trade Recommendations

GS Rates Trades						
Active	Entry Date	Opened	Latest	Stop	Target	Performance
1. Long 3y SOFR swap spread	17-Apr-26	-0.226	-0.166	-0.175	-0.120	+6 bps
2. Pay CHF 1y1y vs EUR 1y1y	11-Sep-26	3.02	2.96	3.25	2.65	+6 bps
3. Sell 3m30y USD Straddles, Delta-Hedged	18-Sep-26	0.00		-0.04	0.06	
4. Pay 5y JPY OIS on 2s5s10s Fly	18-Sep-26	-0.09		-0.13	0.02	
Closed	Entry Date	Closed	Performance			
1. SFRZ6/27 steepeners	21-Nov-25	14-Jan-26	+6bps			
2. Long 10y Gilts on ASW	21-Nov-25	30-Jan-26	+12 bps			
3. Long USD 3m2y A-25 receiver vs short 3m10y A-25 receiver (return in bp running)	7-Nov-25	9-Feb-26	-2 bps			
4. 2s5s CORRA steepener	16-Jan-26	13-Feb-26	+0 bps			
5. Receive AUD 5y5y IRS vs pay NZD 5y5y	28-Nov-25	18-Feb-26	+0 bps			
6. Long 20s on 10s20s30s weighted SOFR fly (weights 0.6x : 2x : 1.4x)	1-Aug-25	2-Mar-26	+6 bps			
7. Long SFIU6	30-Jan-26	3-Mar-26	+7 bps			
8. Long 10y Gilts vs Bunds	7-Nov-25	9-Mar-26	+4 bps			
9. 3m10y A+5/A+20/A+27.5 payer ladders (bp running)	20-Feb-26	23-Mar-26	-5 bps			
10. Long 10y NOK vs SEK	13-Feb-26	25-Mar-26	+20 bps			
11. Long EU 30y on the fly against 30y Austria and Spain	27-Feb-26	10-Apr-26	-5 bps			
12. Long USD 3m 2s10s A+10/A+25 curve cap spread (bp of notional)	23-Jan-26	15-Apr-26	-2 bps			
13. USD 3m3y A-5/A-40 receiver spreads	13-Mar-26	30-Apr-26	-7 bps			
14. Long 10y Inflation Swap vs 0.25x Receive 10y SOFR	27-Mar-26	7-May-26	+15 bps			
15. Pay 10s on 5s10s30s SOFR fly	9-Jan-26	8-May-26	-1 bps			
16. Long 10y Inflation Swap vs 0.25x Receive 10y SOFR	12-Jun-26	18-Jun-26	-1 bps			
17. Long 5y5y EUR OIS - HICP	1-May-26	19-Jun-26	+11 bps			
18. Long 2y1y OIS vs pay August RBA	26-Jun-26	8-Jul-26	-8 bps			
19. Long 3y France, Spain, Italy vs OIS (equally weighted)	10-Apr-26	10-Jul-26	+5 bps			
20. 2s5s CAD steepeners	24-Apr-26	10-Jul-26	+9 bps			
21. Long 5y Receivers on 3m 2s5s10s Receiver Fly (bp running)	8-May-26	11-Aug-26	-1 bps			
22. Pay JPY 5y5y vs EUR 5y5y OIS	7-Aug-26	20-Aug-26	+0 bps			
23. 2s10s NZD steepeners	3-Jul-26	1-Sep-26	+11 bps			
24. 2s5s USD SOFR steepeners vs 2s5s EUR OIS flatteners	31-Jul-26	1-Sep-26	+0 bps			
25. Receive 10y AUD	14-Aug-26	2-Sep-26	-15 bps			
26. 1y forward 2s10s GBP OIS steepeners	29-May-26	4-Sep-26	-10 bps			
27. 2s10s CAD steepeners	10-Jul-26	11-Sep-26	+8 bps			
28. 6m1y A/A-40/A-80 receiver fly (bp running)	14-Aug-26	11-Sep-26	-5 bps			
29. 5s10s SOFR Steepeners	4-Sep-26	14-Sep-26	-5 bps			

Note: Potential profit/loss estimates are given as per unit of duration risk, through yesterday's close.

Source: Goldman Sachs Global Investment Research

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Global Interest Rates Strategy

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Reg AC

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